

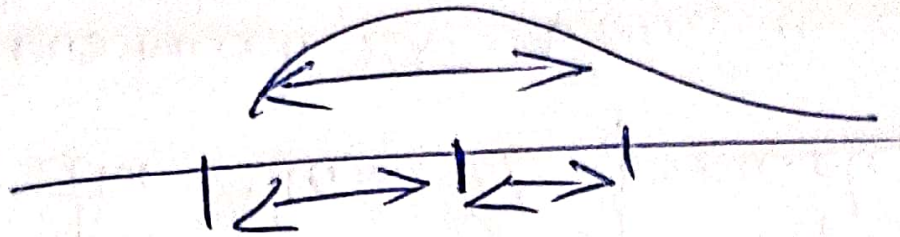
Measure of Dispersion ^{2nd video}

Measure of dispersion describe the spread or variability of a dataset. They indicate how much the values in a dataset from the central tendency.

Common Measures

- ① Range
- ② Variance
- ③ Standard deviation
- ④ Interquartile Range (IQR)

$$x = \{1, 2, 3, 4, 5, 6, 7, 8\}$$



① Range

Def :- Range is the difference between the maximum value and minimum value in a dataset.

$$\text{Range} = \text{Maximum Value} - \text{Minimum Value}$$

Eg :- Ages $\{14, 13, 10, 20, 25, 75, 15\}$

$$\text{Range} = 75 - 10 = 65$$

Draws:

- ① Simple to calculate
- ② Sensitive to outliers

③ Rough Measure of dispersion

$$u = \{35, 40, 45, 39, 30, 7\}$$

$$R_{u1} = 40 - 30 = 10$$

$$R_{u2} = 70 - 30 \\ = 40$$

② Variance.

Def:- Variance Measures the average squared deviation of each value from the Mean. It provides a sense of how much the values in a dataset vary.

Population Variance

$$\sigma^2 = \sum_{i=1}^N \frac{(x_i - \mu)^2}{N}$$

$x_i \rightarrow$ Data point

$\mu \rightarrow$ Population mean

$N \rightarrow$ Population
Size

Sample Variance

$$s^2 = \sum_{i=1}^n \frac{(x_i - \bar{x})^2}{n-1}$$

$x_i \rightarrow$ Data points

$\bar{x} \rightarrow$ Sample
mean

$n \rightarrow$ Sample
Size

Example: - Size of flower petals

$\{5, 8, 12, 15, 20\} \Rightarrow$ Variance
of the distribution

$$\sigma^2 = \sum_{i=1}^N \frac{(x_i - \mu)^2}{N}$$

$$\mu = \frac{5+8+12+15+20}{5}$$

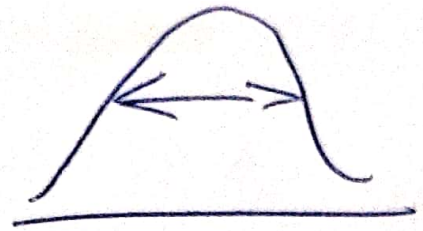
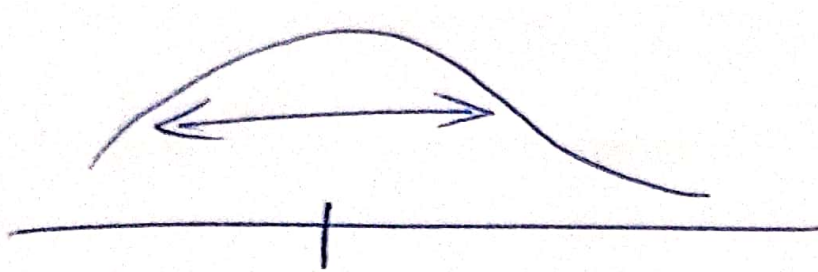
$$= \frac{60}{5} = 12$$

$$\text{Variance} = \frac{(5-12)^2 + (8-12)^2 + (12-12)^2 + (15-12)^2 + (20-12)^2}{5}$$

$$\text{Variance} = 27.6$$

Characteristics

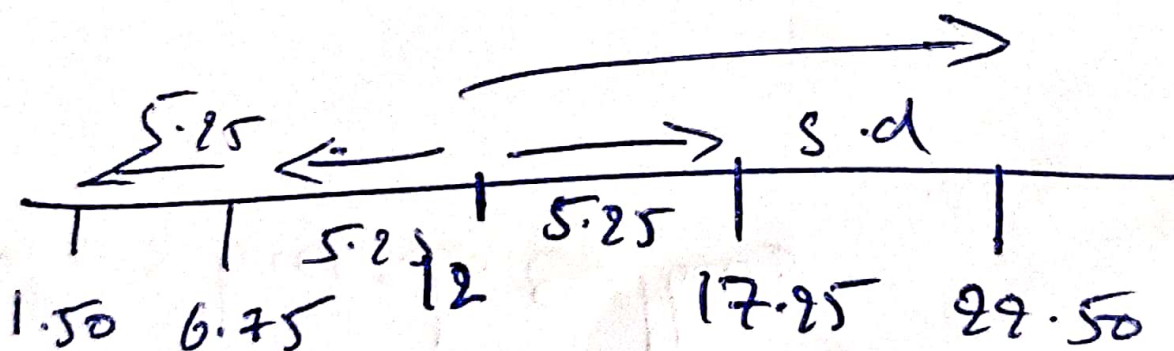
- ① It provides a precise Measure of Variability
- ② units are Squared of original
- ③ Sensitive to outlier of Dataset.



③ Standard deviation

Def :- The standard deviation is the square root of the Variance

$$\sigma = \sqrt{27.6} \approx 5.25$$



{ 5, 8, 12, 15, 20, 24 }

~~Z score~~
(uplani video)

↳ Standard normal distribution.

Characteristics

- It provides a Char Measure of Spread in the same unit as the data.
- Sensitive to outliers